RESOLUTION NO. 7157

Authorizing an Interfund Loan from Fund 601 (Workers' Compensation Fund) to Fund 100 (General Fund)

RECITALS

A. Under ORS 294.468, the Board of Directors may authorize an interfund loan from one fund to another for public purposes, provided it is repaid from a documented source within a reasonable period;

B. The equipment purchase being financed has already been authorized by the Board through separate procurement or expenditure approval processes;

C. Fund 100 – General Fund requires temporary cash flow to complete this approved purchase and Fund 601 – Workers' Compensation Fund has adequate reserves to provide the funding without impacting its operations;

D. Fund 601 – Workers' Compensation Fund has sufficient reserves to support the loan without impairing its program obligations;

RESOLUTION

BE IT RESOLVED, that the Board of Directors of School District 1J, Multnomah County, Oregon authorizes an interfund loan as follows:

Lending Fund: Fund 601 – Workers' Compensation Fund

Borrowing Fund: Fund 100 – General Fund

Loan Amount: $1,321,349.90

Purpose: To finance a previously authorized capital purchase using internal reserves.

Repayment Source: Annual payments of $305,198.53.

Repayment Term: Four years, payable upon demand, with full repayment no later than June 30, 2029
Interest Rate: 0% (interest-free loan approved due to internal cash flow strategy and scheduled repayments)

BE IT FURTHER RESOLVED, that this interfund loan will be recorded as a receivable in Fund 601 and a liability in Fund 100, and monitored annually as part of the District's financial reporting and audit process.